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What's News

Business & Finance

◆ **U.S. economic growth** picked up in the first quarter as businesses invested heavily in artificial intelligence, rebounding from a fourth quarter dented by a government shutdown. **A1**

◆ **The S&P 500 and Nasdaq** rose 1% and 0.9%, respectively, to records Thursday and the Dow gained 1.6%, capping an effervescent month for equities. **B1**

◆ **The U.S. national debt** now exceeds 100% of gross domestic product, on its way toward breaking the record set in the wake of World War II. **A1**

◆ **Higher energy prices** raised the Fed's preferred measure of inflation in March, illustrating why plans for further rate cuts have grown divisive at the central bank. **A2**

◆ **Meta Platforms CEO** Mark Zuckerberg addressed the market's negative reaction to the company's latest results in an all-staff meeting. **B1**

◆ **Union Pacific and Norfolk Southern** said their proposed \$71.5 billion merger would give the railroad a projected 39% market share of rail freight in the U.S. **B1**

◆ **Blue Owl reported** stronger fundraising for its smaller businesses in the first quarter, offsetting stalled growth in its flagship private-credit unit. **B1**

◆ **Elon Musk again** took the stand in his lawsuit against OpenAI and its co-founders, testifying at length as he seeks to halt the company's conversion to a for-profit entity. **B3**

◆ **Saks Global laid off** about 16% of its corporate staff as it takes steps to emerge from bankruptcy protection. **B2**

Worldwide

◆ **The House approved** a long-delayed measure to fund most of the Department of Homeland Security and end a 76-day shutdown after a White House warning. **A6**

◆ **Trump withdrew** his nomination of Casey Means to serve as U.S. Surgeon General after it became clear that the Senate wouldn't confirm her. **A3**

◆ **Cigna will exit** the Affordable Care Act market next year, the latest sign of turmoil in a business that has been hit hard by the loss of federal subsidies. **A6**

◆ **The Senate passed** a resolution prohibiting its members from trading on prediction markets after concerns were raised about possible insider trading on the platforms. **A6**

◆ **Tens of millions** of taxpayers may be eligible to claim refunds from the IRS because of a court decision that said many pandemic-era tax deadlines didn't apply. **A4**

◆ **Trump said he was** weighing whether to cut the number of U.S. troops stationed in Germany as he and German Chancellor Friedrich Merz spar over the war in Iran. **A7**

◆ **Mexico's president** questioned the evidence provided by U.S. authorities charging the governor of Sinaloa state with drug trafficking. **A8**

◆ **Maine Gov. Janet Mills** dropped out of the Democratic Senate primary, all but guaranteeing Graham Platner will be the party's nominee for the November contest. **A6**

◆ **Camp Mystic, the Texas** camp where 27 girls died in flooding last year, won't reopen this summer as planned. **A6**

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Welcome Back to Caracas



BANNER DAY: The pilot of an American Eagle plane waved a Venezuelan flag after flying from Miami to Caracas on Thursday. It was the first direct U.S. commercial flight there since 2019. **A9**

Oil Giants That Shunned Venezuela Take a New Look

Rising above the din of voices in the lobby of the J.W. Marriott in Caracas is an unusual sound: Spanish spoken with a Texas twang.

By Collin Eaton,
Vera Bergengruen
and Kejal Vyas

Engineers, lawyers and other emissaries of the U.S. oil industry have flocked to the heavily guarded hotel to pitch their Venezuelan counterparts on plans to revive the country's rundown oil fields. Dozens have met with a receptive Delcy Rodríguez, Venezuela's acting president.

One small Texas operator was recently heard boasting

that his company is nimble enough to get oil flowing faster than the oil giants.

Even Exxon Mobil, Conoco-Phillips and other oil companies that just months ago deemed Venezuela too risky for business have come back to town for a second look.

"It was unmistakable, the sense of impending opportunity," said Jon Hughes, the CEO of boutique energy investment bank Petrie Partners, who visited the bustling hotel last week.

"There were so many Americans meeting with so many Venezuelans. Both sides are engaged in a constructive way, with a shared vision of making things function better

and getting production up."

The U.S. Embassy has even set up camp at the J.W. Marriott—to escape the black mold that overran its building after years of disrepair. More visitors are likely on the way: American Airlines on Thursday offered the first direct U.S. commercial flight to Venezuela's capital city in seven years, out of Miami.

In recent weeks, Exxon and Conoco have met with Venezuelan officials and sent technical teams to the Latin American country. Exxon's team inspected the Cerro Negro heavy-oil project it operated before 2007, when Hugo Chávez's government national-

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AI Investments Drive Rebound In U.S. Growth

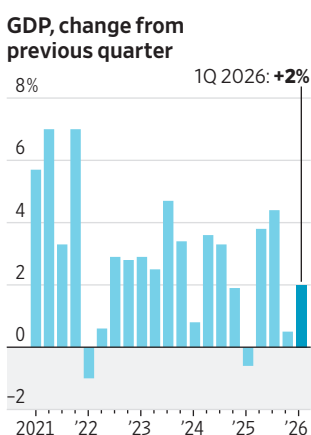
GDP expands by 2%, though consumers tap the brakes on spending for goods

By HARRIET TORRY

The U.S. economy expanded at an annual rate of 2% in the first quarter as businesses invested heavily in artificial intelligence, rebounding from a fourth quarter dented by a government shutdown.

At the same time, the economy didn't expand as fast as economists expected, weighed down by softer consumer spending growth.

Economists surveyed by The Wall Street Journal were expecting a stronger, 2.2% seasonally and inflation-adjusted gross domestic product increase for the January-to-



Note: Seasonally and inflation-adjusted at annual rates
Source: Commerce Department

March quarter. The measure, reported by the Commerce Department, captures the value of all goods and services produced in the economy.

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National Debt Now Tops 100% of GDP

By RICHARD RUBIN

WASHINGTON—The U.S. national debt now exceeds 100% of gross domestic product, crossing a once-unthinkable threshold, on the way toward breaking the record set in the wake of World War II.

As of March 31, the country's publicly held debt was \$31.265 trillion, while GDP over the preceding year was \$31.216 trillion, according to data released Thursday. That puts the ratio at 100.2%, compared with 99.5% when the last fiscal year ended Sept. 30. That figure will likely climb because the government is running historically large an-

nual deficits of nearly 6% of GDP, which add to the debt.

The government is spending \$1.33 for every dollar it collects in revenue, and the budget deficit this year is projected at \$1.9 trillion. That is little changed from 2025 as Republicans' tax cuts kick in before their spending cuts take effect. The final tally depends on war spending, tariff refunds and the strength of the economy.

By itself, the milestone doesn't mean much. There isn't a special level where debt goes from problematic to catastrophic. And the ratio might bounce around in the coming

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iPhone Powers Apple Revenue

Apple reported that revenue from iPhones rose 21.7% to nearly \$57 billion in the second quarter as consumers embraced the iPhone 17 lineup, upgrading devices at a brisk pace. That boosted Apple to quarterly sales of \$111.2 billion. **B1**



Note: Latest fiscal quarter ended March 28.
Source: the company

The Cutthroat Competition To Get a Gig on a Cruise Ship

Singers, magicians and jugglers have minutes to show they can hold passengers' attention

By JACOB PASSY

MIAMI BEACH, Fla.—Kimberly Davis has played some of the biggest stages in the world with Chic, the disco band co-founded by legendary guitarist Nile Rogers. She's opened for Cher and headlined major festivals.

To hear her booming vocals on a recent Wednesday, you had to make your way to the Sunset Vista Ballroom at the Miami Beach Convention Center. Davis was trying to impress attendees of an annual cruise-industry convention in a showcase that resembled "America's Got Talent."

The ultimate goal: to land a gig on a cruise ship. Bookers

now gather at the Seatrade Cruise Global convention every year to line up entertainment for cruises across the globe. More than two dozen acts—comedians, musicians, mentalists, magicians, dancers and jugglers—had 10 minutes each to prove themselves, which sounds harsh until you consider what cruise-ship audiences are like.

"On a cruise you have about three minutes to prove that you are worth

staying for the next 40," said Michael Linden, founder and chief executive of talent agency Oakdale Entertainment. "There's so much to do on these ships that if they want to do something else,

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Warsh Faces a Fed Board Averse To Cuts and Powell Still Present

By NICK TIMIRAO

At his Senate confirmation hearing last week, Kevin Warsh told lawmakers that the Federal Reserve needed a serious shaking up, with "messier meetings" and "a good family fight" at an institution that has cultivated discipline and consensus.

He might be getting all of that and more.

On Wednesday afternoon, the man Warsh is set to succeed as Fed chair, Jerome Powell, said he wouldn't be

leaving right away. Three of Powell's colleagues delivered a pointed warning that they are in no mood to cut rates anytime soon.

Every Fed chair for the past 75 years has left the central bank when his or her successor took over. Powell's announcement that he would remain on the Fed's board as a governor after handing the baton to Warsh in May broke with that precedent. It underscored how far the Trump administration's pressure campaign had pushed the Fed into

uncharted territory.

Powell's decision followed a criminal probe of his oversight of building renovations. Trump had cheered that investigation but prosecutors halted it last week to advance Warsh's confirmation. Last year, President Trump attempted to fire a Fed governor in a case that is now before the Supreme Court.

"My concern is really about the series of legal attacks on

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◆ **Energy prices lift a Fed inflation metric**..... **A2**

INSIDE



MANSION
Will a Los Angeles megamansion become America's first \$400 million home? **M1**



BUSINESS & FINANCE
Hershey CEO navigates weight drugs—and making luxury chocolate accessible. **B1**

Buzzy Chinese Cars Test U.S. Industry

Americans warm to high-tech vehicles sold in Mexico, but they can't own them

By RYAN FELTON

CIUDAD JUÁREZ, Mexico—Just 5 miles from the U.S. border, a bustling commercial strip here offers the buzzy Chinese car brands currently blocked from the American market.

A Geely dealership features the all-electric EX2, a sleek compact that starts at only around \$20,000. A bulky hybrid pickup truck sits next to a charger outside a BYD dealership. Great Wall Motor boasts some beefy gas-powered sport-utility vehicles, one advertised with the slogan "Be More Tank."

Luis Hernandez, a Geely salesman, said he has poached many longtime Ford

and Chevrolet owners attracted to the affordable sticker prices and whiz-bang Chinese technology. He recently sold two Geely Emgrand sedans, which start at around \$17,000, to a Mexican family for their two daughters to commute to college in El Paso, where the sleekest Chinese cars are now attracting attention.

"If they were allowed to be sold in the United States," Hernandez boasted of the Chinese models, "they would destroy the American car market."

U.S. automotive executives don't entirely disagree. Without a clear plan to deal with Chinese competitors, some of them said in inter-

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